

following questions will help guide these decisions:

*(C)apacities:*

- Do you have sufficient retirement income from reliable sources that will not be diminished by market downturns?
- How would you adjust your lifestyle if you had to spend less? Is your answer reasonable?
- Are your portfolio distributions flexible enough that you could reduce them after a market downturn without adversely affecting your standard of living in retirement (either because it is easy to make simple lifestyle changes or because you have sufficient reliable income sources like pensions and annuities available outside your portfolio)?
- Do you have insurance to protect from dramatic spending shocks related to health, long-term care, or an unexpected death?
- Related to your funded status, do you have reserve assets that could be deployed to cover spending after a market downturn (that are not earmarked to meet retirement spending goals)? Is the value of these assets correlated with the stock market?

*(A)spirations:*

- What are your retirement spending goals? How are they divided between basic and discretionary expenses?
- Do you expect your lifestyle spending goals to keep pace with inflation? Are your spending needs sensitive to inflation?
- How long do you want your money to last?
- Do you want to build in a margin of safety for remaining assets?
- What are your legacy objectives?

*(R)eturns:*